UNIT - III

Human Resources Management (HRM)

Syllabus at a glance

- HRM meaning, nature, managerial and operative functions - Job analysis - HRP
- Recruitment and selection - Training and development - Performance appraisal
- Placement, induction - Wage and salary administration

1. HRM - Definition & Meaning

Human Resource Management (HRM) is the part of management that deals with procuring, developing, motivating, utilising and maintaining a competent workforce to achieve organisational goals.

- Edwin Flippo : "HRM is planning, organising, directing and controlling of the procurement, development, compensation, integration, maintenance and separation of human resources to the end that individual, organisational and societal objectives are accomplished."
- Dale Yoder : HRM is the management of manpower - a strategic and coherent approach to the management of an organisation's most valued assets: the people.
- Evolution: Personnel management (welfare, clerical) → Personnel and IR → HRM (strategic, people as assets) → HRD

Nature of HRM

- Pervasive (every organisation, every manager) - People-oriented - Continuous - Action-oriented (solves problems, not just records)
- Integrating (individual + organisation) - Dynamic - Strategic partner of top management - Multi-disciplinary (psychology, sociology, law, economics)

Objectives & importance

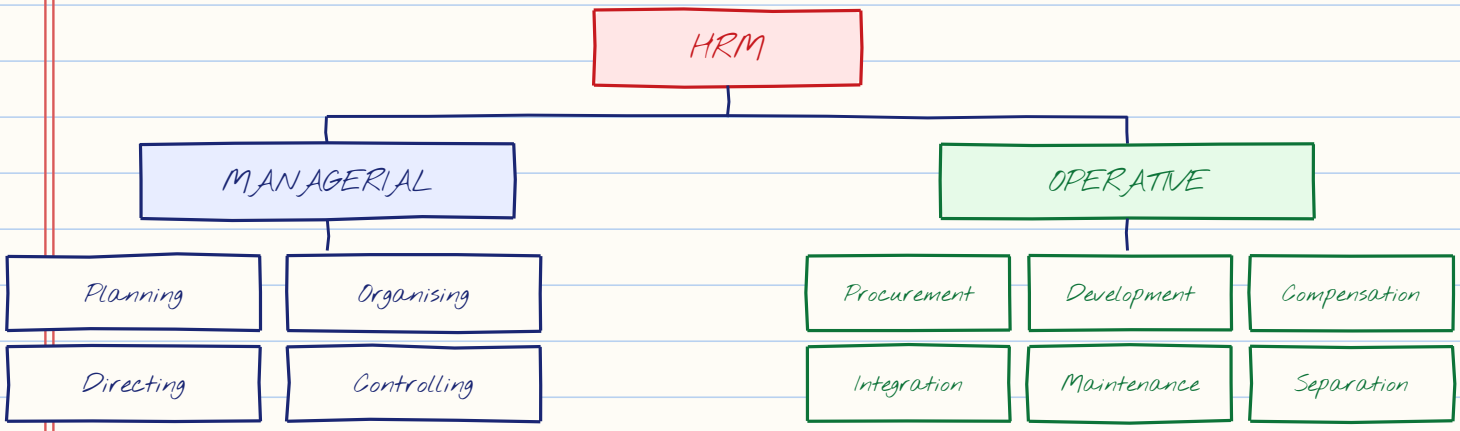
- Societal objectives (ethical, social responsibility) - Organisational (right people, right job, productivity) - Functional (department's contribution) - Personal

(growth, satisfaction)

- Importance: attracts and retains talent, improves productivity, reduces turnover and disputes, builds culture, ensures legal compliance

Basis	Personnel management	HRM
View of people	Cost or tool	Asset or resource
Approach	Reactive, routine, clerical	Proactive, strategic, developmental
Focus	Rules, procedures, welfare	Commitment, empowerment, performance
Role	Staff function	Line + staff, top-level involvement

2. Functions of HRM - Managerial & Operative



Managerial functions

- Planning - forecast manpower, set HR policies, programmes, budgets - Organising - HR department structure, duties, delegation, relationships
- Directing - motivation, leadership, communication, supervision - Controlling - compare performance with standards, audits, corrective action

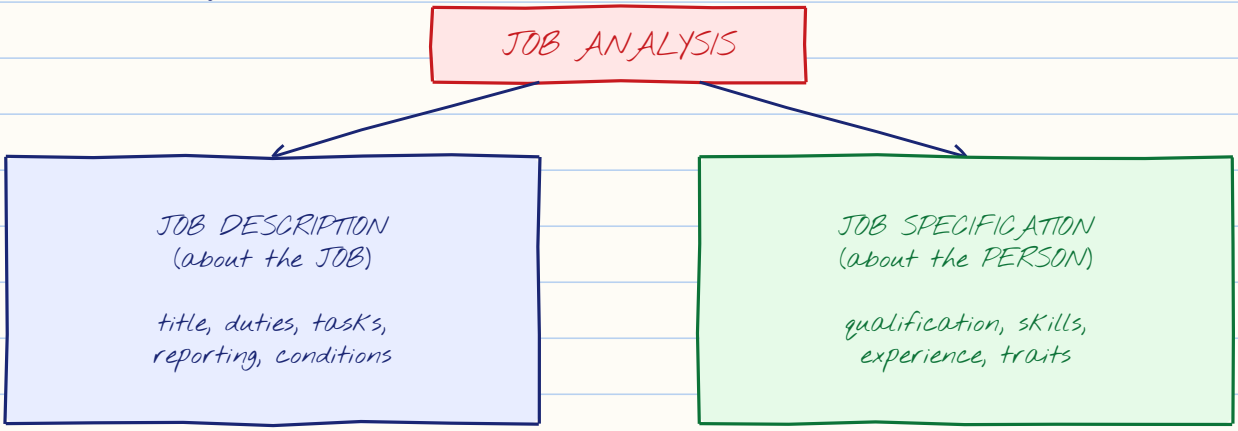
Operative functions

Function	Activities
Procurement	Job analysis, HR planning, recruitment, selection, placement, induction
Development	Training, executive development, career planning, performance appraisal

Function	Activities
Compensation	Job evaluation, wage and salary fixing, incentives, bonus, fringe benefits
Integration	Employee relations, grievance handling, collective bargaining, participation, motivation
Maintenance	Health, safety, welfare, social security, morale, working conditions
Separation	Resignation, retirement, retrenchment, dismissal, VRS, exit interview

3. Job Analysis

Job analysis = systematic process of collecting and recording information about the duties, responsibilities, skills, working conditions and requirements of a job. (What does the job involve? Who can do it?)



Process

- Identify purpose → collect background info (org charts) → select jobs → collect job data → prepare job description and specification → review and update

Methods of collecting job data

- Observation (direct, for repetitive jobs) - Interview (with job holder and supervisor) - Questionnaire (structured form) - Work diary or log - Technical conference (experts) - Critical incident technique - Combination (best)

Sample Job Description (Production Supervisor)

- Title : Production Supervisor ; Dept : Assembly ; Reports to : Plant Manager
- Duties : plan daily output, assign work, ensure quality and safety, maintain records
- Specification : B.Tech or Diploma, 3 yrs experience, leadership, communication, Knowledge of MS Office

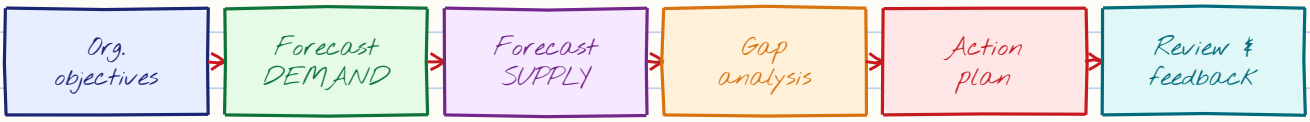
- Uses: recruitment and selection, training needs, performance appraisal, job evaluation (pay), HR planning, safety, career planning

4. Human Resource Planning (HRP)

HRP = process of forecasting an organisation's future demand for and supply of the right type of people in the right number at the right time (Geisler).

Objectives

- Ensure optimum use of HR - Meet future manpower needs - Avoid surplus or shortage - Control labour cost - Support expansion, technology change and succession planning



Surplus -> retrench, VRS, redeploy | Shortage -> recruit, train, overtime, outsource

Process of HRP

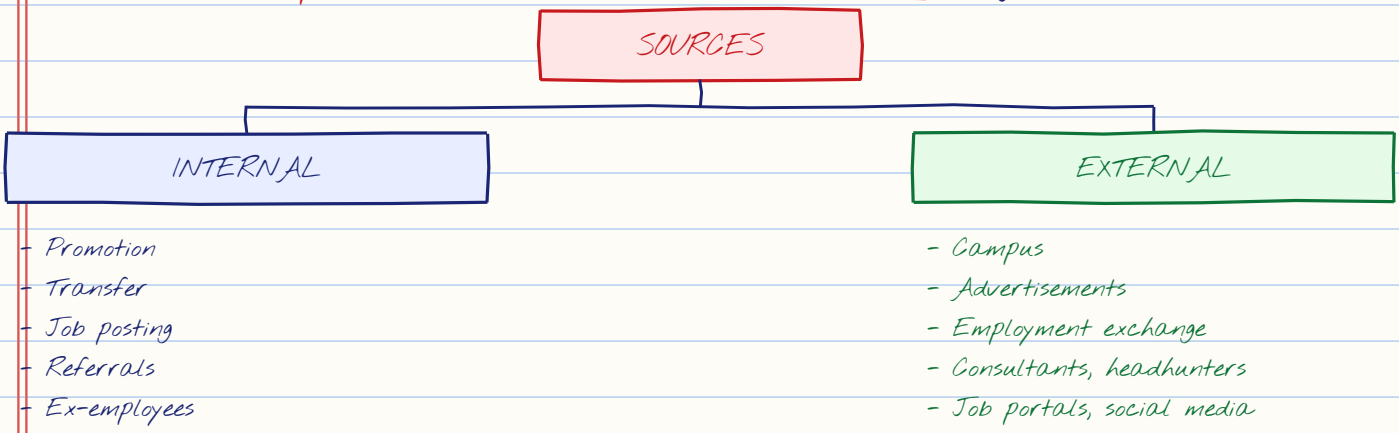
1. Analyse organisational objectives and plans (growth, new products, technology)
2. Forecast demand : managerial judgement, Delphi technique, ratio-trend analysis, regression, work-study (workload) analysis, zero-base
3. Forecast supply : internal - skill inventory, replacement chart, Markov analysis, succession plans ; external - labour market, migration, education output
4. Gap analysis : Demand - Supply = surplus (+) or shortage (-)
5. Action plans : recruitment, training, redeployment, VRS, outsourcing, job redesign

6. Implement and evaluate - audit, update

- Barriers: inaccurate forecasts, resistance from managers or unions, lack of information system, uncertainty, costs

5. Employee Recruitment

Recruitment = process of searching for prospective candidates and stimulating them to apply for jobs (Flippo). Selection = choosing the right ones from the pool. (Recruitment is positive - attracts; selection is negative - rejects.)



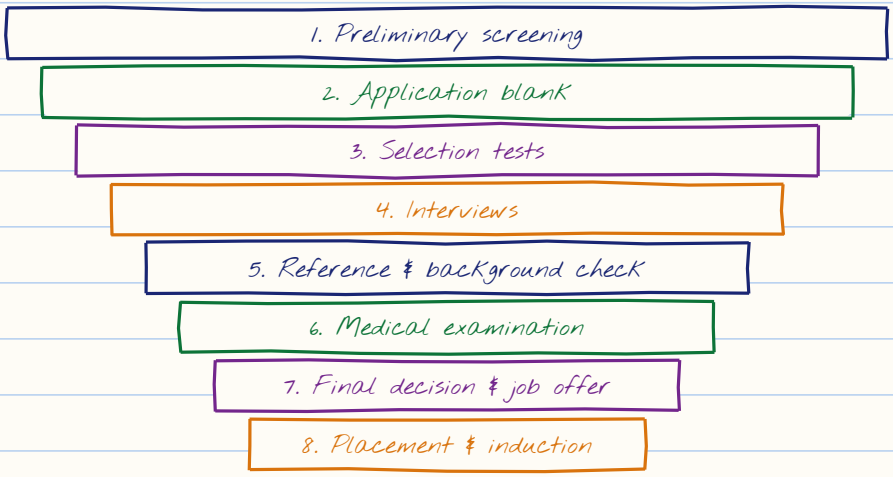
Source	Merits	Demerits
Internal	Cheap, quick, motivates staff, known performance, less training	Limited choice, no fresh ideas, office politics, inbreeding
External	Fresh talent, wider choice, new skills and ideas	Costly, time-taking, risk of poor fit, demotivates insiders

External sources in detail

- Campus recruitment - fresh graduates from colleges (IITs, IIMs) - Advertisements - newspapers, trade journals - Employment exchanges (govt.)
- Placement agencies or consultants and headhunters for senior jobs - Walk-ins and write-ins - Job portals or e-recruitment (NaukRi, LinkedIn) - Referrals - Labour contractors - Unsolicited applications

6. Employee Selection - Process

Selection = "the process of differentiating between applicants to identify those with greater likelihood of success in a job". Multiple hurdles are used.



- Preliminary screening : quick check of eligibility to remove unsuitable candidates
- Application blank : bio-data, qualifications, experience, references
- Tests : aptitude, intelligence (IQ), personality, interest, trade or skill, projective, achievement ; must be valid and reliable
- Interview : face-to-face evaluation - structured, unstructured, panel, stress, behavioural, group
- Reference and background check - Medical fitness - Final selection by line manager → offer and appointment letter

Recruitment vs Selection

Basis	Recruitment	Selection
Nature	Positive - attracts many candidates	Negative - rejects unsuitable ones
Aim	Create a large pool of applicants	Choose the best fit from the pool
Order	First step	Follows recruitment
Output	Applications received	Appointment of selected candidates

Selection tests - types

Test	What it measures	Example
Intelligence	Reasoning, memory, numerical and verbal ability	IQ test
Aptitude	Potential to learn a skill	Mechanical, clerical, programming aptitude
Personality	Traits, emotional stability, attitude	MBTI, Big-5, 16PF

Test	What it measures	Example
Interest	Preference for types of work	Strong Interest Inventory
Trade or proficiency	Present skill level	Typing speed, welding, coding test
Projective	Hidden feelings, imagination	Rorschach inkblot, TAT

Types of interview

Type	Description
Structured (patterned)	Same fixed questions to all - fair, easy to compare
Unstructured	Free-flowing, open conversation - flexible but biased
Panel or board	A group of interviewers - joint and balanced decision
Stress	Pressure created deliberately to test composure (sales, defence)
Behavioural	"Tell me about a time when ..." - past behaviour predicts future
Group or telephonic or video	Many candidates together ; remote screening

Placement & Induction

- Placement = putting the selected person on the right job (matching specification with skills and interests) ; Induction (Orientation) = introducing the new employee to the organisation, people, policies, culture
- Induction contents: company history and vision, products, structure, rules, benefits, safety, tour, buddy system. Benefits: lower anxiety, quick adjustment, reduced turnover

7. Employee Training & Development

Basis	Training	Development
Meaning	Improves skills for a present job	Overall growth for future roles
Focus	Technical, short-term	Conceptual, long-term, career
Level	Mostly operatives	Managers or executives
Initiative	Employer	Self-motivated

Systematic training process

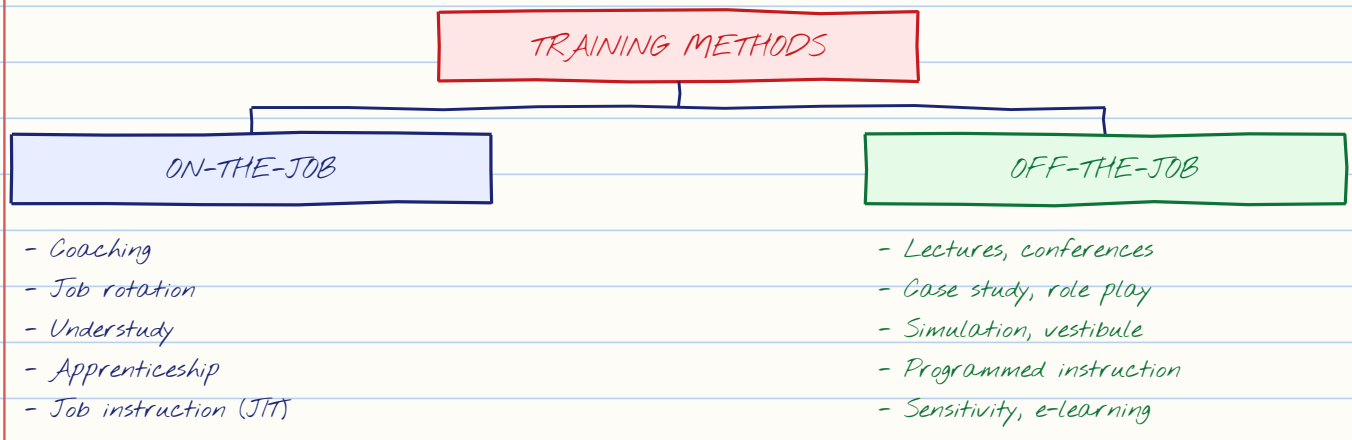
1. Training need analysis (TNA) 2. Set objectives 3. Design programme and methods 4. Implement 5. Evaluate (Kirkpatrick: Reaction → Learning → Behaviour → Results)

Analyse the need for training (3 levels)

- Organisational analysis : goals, resources, skills gap, new technology, high rejection or accidents
- Task (operational) analysis : what knowledge and skills each job demands (from job description)
- Person analysis : actual vs required performance - from appraisal, tests, complaints, absenteeism, supervisor feedback
- Signs of need: low productivity, wastage, more accidents, customer complaints, new machines, promotions, change in methods

Evaluation of training - Kirkpatrick's 4 levels

Level	What is measured	How
1. Reaction	Did trainees like it?	Feedback forms
2. Learning	Knowledge or skill gained	Pre-test vs post-test
3. Behaviour	Applied on the job?	Supervisor observation
4. Results	Productivity, quality, cost, profit	Business metrics, ROI



- Coaching (supervisor guides) - Job rotation (moves across jobs) - Understudy (assistant to a senior) - Apprenticeship (earn + learn) - Vestibule (replica of shop-floor)
- Case study - Role play - In-basket - Business games - Sensitivity training

(T-group) - Programmed or e-learning - Lecture or conference

- Development: mentoring, job enrichment, action learning, MDP, sabbaticals, 360-degree feedback, succession planning

8. Performance Appraisal

Performance appraisal (PA) = systematic evaluation of an employee's job performance and potential against set standards, for development and decisions (promotion, pay, transfer, training).

Objectives & process

- Pay rise and promotion decisions - Identify training needs - Feedback and motivation - Improve communication - Validate selection
- Process: set standards → communicate → measure actual performance → compare → discuss (feedback) → take action (reward or train or correct)

Methods of appraisal

Class	Method	Idea
Traditional	Ranking, paired comparison	Rank best to worst ; compare each with every other
Traditional	Grading, forced distribution	A, B, C grades ; fixed % in each category (bell curve)
Traditional	Graphic rating scale	Rate traits (quality, initiative) on 1-5 scale
Traditional	Checklist, essay, critical incidents	Yes or no statements ; narrative ; record good and bad events
Modern	MBO (Drucker)	Jointly set targets, review results
Modern	BARS	Rating scale anchored with behaviour examples
Modern	360-degree	Feedback from boss, peers, subordinates, customers, self
Modern	Assessment centre	Exercises, role plays, tests by assessors
Modern	HR accounting, 720 or KPI-BSC	Value of employee ; balanced scorecard

Evaluating the appraisal system - errors to avoid

- Halo effect (one good trait colours all) - Horn effect - Central tendency (everyone average) - Leniency or strictness - Recency bias - Personal bias, stereotyping
- Good appraisal = valid, reliable, job-related, objective, participative, regular, linked to development

Appraisal interview (feedback) - good practice

- Be specific, use facts and examples not personality - Start with strengths - Discuss problems and agree an action plan - Set next targets (SMART) - Keep records, follow up

Sample appraisal form (graphic rating scale, 1 = poor, 5 = excellent)

- Job Knowledge 1 2 3 4 5 - Quality of work 1 2 3 4 5 - Quantity of work 1 2 3 4 5
- Initiative 1 2 3 4 5 - Team work 1 2 3 4 5 - Attendance and punctuality 1 2 3 4 5
- Overall rating = total ÷ 6 ; Remarks of reviewer : Training needs : Promotion potential :

9. Wage & Salary Administration

Wage = remuneration to workers (hourly or daily or piece) ; Salary = fixed monthly pay to clerical or managerial staff. Wage and salary administration = scientific fixing of pay structure that is fair, competitive and affordable.

Types of wages

- Minimum wage (basic needs; Minimum Wages Act 1948 → now Code on Wages 2019) - Fair wage - Living wage - Nominal vs real wage (purchasing power)

Factors affecting pay

- Job evaluation (relative worth) - Labour market rates - Ability to pay - Cost of living - Productivity - Govt. laws and unions - Employee skills or seniority

Job evaluation methods

- Non-analytical : Ranking , Job classification (grading) ; Analytical : Point rating (points to factors - skill, effort, responsibility, conditions), Factor comparison

Point-rating job evaluation (example)

- Factors and maximum points : Skill 100 ; Effort 60 ; Responsibility 80 ; Working conditions 40 (total 280)
- Job "Machine Operator" scores Skill 60 + Effort 40 + Responsibility 40 + Conditions 30 = 170 points ; "Supervisor" scores 90 + 40 + 70 + 20 = 220 points
- Pay grades are fixed by point ranges (e.g. 150–180 = Grade II, 200–230 = Grade III)

Methods of wage payment

System	Formula or working	
Time rate	Wage = hours worked × rate per hour. Simple, but no incentive	
Piece rate	Wage = units produced × rate per piece. Encourages output, quality risk	
Taylor's differential	80% (low rate) below standard ; 120% (high rate) at or above standard	
Halsey premium	Earnings = (T × R) + 50% × (time saved × R) (T = actual time)	
Rowan	Earnings = (T × R) + (time saved ÷ time allowed) × T × R	
Bonus, profit sharing	Share of surplus ; Payment of Bonus Act 1965 (8.33% – 20%)	

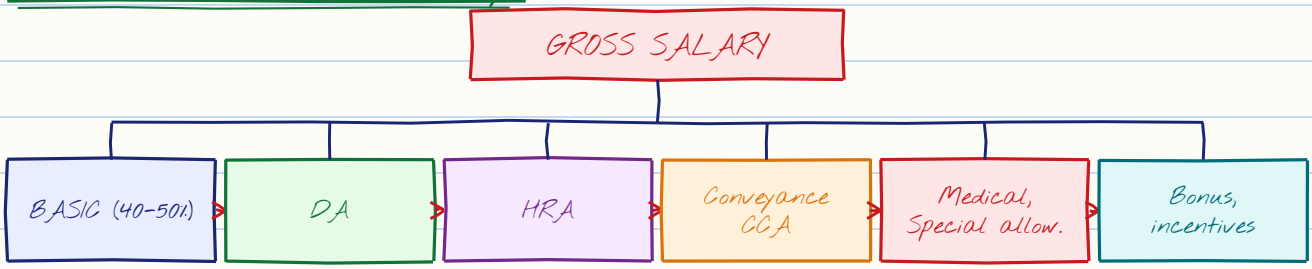
Example

- Standard time 10 hrs, actual 8 hrs, rate Rs.20 per hour (time saved = 2 hrs)
- Time rate = 8 × 20 = Rs.160 ; Halsey = 160 + 0.5 × 2 × 20 = Rs.180 ; Rowan = 160 + (2 ÷ 10) × 8 × 20 = Rs.192
- Taylor: standard 10 units/day, piece rate Rs.10 → 12 units: 12 × 12 = Rs.144 ; 9 units: 9 × 8 = Rs.72

Incentives & fringe benefits

- Financial incentives : bonus, profit sharing, commission, stock options (ESOP), gain sharing
- Non-financial : recognition, job security, promotion, flexible hours, training chances
- Fringe (indirect) benefits : PF, gratuity, pension, medical and insurance, housing, canteen, leave travel, education, creche
- Incentive plan conditions : simple, fair, attainable, quick payment, linked to output and quality, union agreement

Basic structure of salary



minus deductions: PF, ESI, professional tax, TDS = NET (take-home) pay

Component (annual CTC Rs.6,00,000)	Amount (Rs.)	Note
Basic salary (40%)	2,40,000	Base for PF, gratuity, HRA
HRA (50% of basic)	1,20,000	House rent allowance
Special allowance	1,99,700	Conveyance, medical, etc. (balancing figure)
Employer PF (12% of basic)	28,800	Retirement benefit
Gratuity (about 4.8% of basic)	11,500	After 5 years of service
Total CTC	6,00,000	Take-home is lower after deductions

10. Important Questions (Unit III)

1. Define HRM. Explain its nature, scope and functions.
2. Explain managerial and operative functions of HRM.
3. What is job analysis? Distinguish job description and job specification.

4. Explain HR planning and its process.
5. Discuss the sources of recruitment. Explain the selection process.
6. Explain training methods. How do you analyse the need for training?
7. Discuss the methods of performance appraisal. Evaluate their errors.
8. Explain wage payment systems (Halsey, Rowan, Taylor) with example.
9. Short notes: induction, placement, job evaluation, salary structure.

Last-minute revision

- HRM functions : Procurement – Development – Compensation – Integration – Maintenance – Separation
- Selection = screening → blank → tests → interview → check → medical → offer ; Training = on-the-job or off-the-job ; PA = traditional or modern (360, MBO, BARS)